

23STCV17914 23STCV17914

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Case Number: 23STCV17914 Hearing Date: August 28, 2026 Dept: 406

RUTH ANN ISAACS

HAMILTON,

Plaintiff,

v.

AXOS BANK, S&L, et

al.,

Defendants.

Case No.: 23STCV17914

Hearing Date: August 28, 2026

[TENTATIVE]

order RE:

plaintiff's motion for leave to file

fourth amended complaint

BACKGROUND

On July 31, 2023, Plaintiff Ruth Ann

Isaacs Hamilton filed this action against Defendants Axos Bank, S&L and

4505 Santa Rosalia Lender LLC. Plaintiff filed the operative Third Amended

Complaint on December 19, 2025. The TAC asserts causes of action for (1) fraud,

(2) negligent misrepresentation, (3) negligence, (4) violation of Civil Code section 1671, (5) elder abuse, (6) conversion, and (7) unfair competition.

This dispute arises out of Defendants' alleged misconduct in connection with a certain loan agreement and real property. Plaintiff alleges that Defendants improperly assessed Plaintiff for late charges, default judgment interest rates, and other penalties in connection with the subject loan agreement.

On July 20, 2026, Plaintiff filed the instant motion for leave to file a fourth amended complaint. Defendant Rosalia filed an opposition on August 17, 2026. Plaintiff filed a reply on August 21, 2026.

LEGAL STANDARD

The court may, in furtherance of justice, and on such terms as may be proper, allow a party to amend any pleading. (Code Civ. Proc, §§ 473(a), 576.) Courts must apply a policy of liberality in permitting amendments at any stage of the proceeding, including during trial, when no prejudice to the opposing party is shown. (*Duchrow v. Forrest* (2013) 215 Cal.App.4th 1359, 1377.) In determining the extent of prejudice to the opposing party, the court must consider various factors, such as whether the amendment would delay trial or increase the discovery burden. (*Demetriades v. Yelp, Inc.* (2014) 228 Cal.App.4th 294, 306.)

A motion for leave to amend a complaint must be accompanied by a declaration that explains: (1) the effect of the amendment; (2) why the amendment is necessary and proper; (3) when the facts giving rise to the amended allegations were discovered; and (4) the reasons why the request for amendment was not made earlier. (Cal. Rules of Ct., Rule 3.1324(b).) An amendment is properly denied "when offered after long unexplained delay or on the eve of trial." (*Royal Thrift & Loan Co. v. County Escrow, Inc.* (2004) 123 Cal.App.4th 24, 41.)

DISCUSSION

The proposed 4AC adds KSR Capital LLC and Max Dweck as defendants and adds allegations pertaining to their involvement. (Kellner Decl., Ex. B.) Specifically, Plaintiff contends that "there

is a unity of interest and ownership between KSR Capital and Rosalia, facilitated by Dweck, and Rosalia was a mere conduit for KSR Capital regarding the acquisition of the Loan from Axos.” (Mtn. 2:17-19.)

Plaintiff fails to explain when the facts underlying the amendment were discovered or why the amendment was not made earlier. The Kellner declaration lists a variety of facts that Plaintiff’s counsel learned “through [his] analysis” which he believes is “essential to add to the complaint.” (Kellner Decl. ¶ 7.) Kellner vaguely avers that these facts were learned “during discovery.” (Id., ¶ 8.) However, the declaration does not explain why the facts could not have been presented earlier. The fact that Plaintiff’s new counsel reviewed the casefile and decided to shift Plaintiff’s litigation strategy is not a reason for amendment. The Vallier declaration simply recites the history of discovery without identifying any new fact or tying it to the proposed 4AC.

In reply, Plaintiff focuses on an April 17, 2026 supplemental production from Rosalia, “which included heavily redacted legal invoices made out to KSR, which Rosalia contends substantiate the ‘legal fees’ charged to Ms. Hamilton on the payoff demand.” (Reply 4:6-15; Vallier Decl. ¶ 12.) Plaintiff also references “an additional production” from April 20, 2026 and “amended responses” on April 22, 2026, without specifying what facts were gleaned from them. (Id., ¶¶ 12, 14.) Plaintiff blames Rosalia’s purported noncompliance in discovery as the reason for the delayed amendment.

But the single production of invoices, which (according to Plaintiff) is not even sufficient due to excessive redactions, does not justify the expansive amendments proposed in the 4AC. Plaintiff does not explain how this single, overly redacted production suddenly caused her to discover “how intertwined Dweck, KSR Capital and Rosalia in fact are, or that Rosalia was a mere conduit for KSR Capital in its acquisition of the Loan, or that Rosalia was created for the sole purpose of attempting to shield Dweck and KSR Capital from liability.” (See Reply 5:10-13.) Plaintiff does not explain which facts pertinent to the proposed 4AC were concealed due to Rosalia’s purported delay, or when they were finally discovered. The Court notes that Plaintiff deposed Dweck back in 2024. The Court also notes that, although Plaintiff claims Rosalia’s production has been inadequate and remains incomplete to this day, Plaintiff was nonetheless able to prepare the 4AC. This belies Plaintiff’s contention that Rosalia’s purported discovery abuse hindered her ability to present the facts asserted in the

proposed 4AC.

The Court finds that Rosalia would be unduly prejudiced by the delayed amendment. The case has been pending for three years, and this is Plaintiff's fifth attempt at the pleadings. Moreover, the trial has already been continued once on Plaintiff's request. The proposed amendment substantially expands the case and brings Rosalia's formation, capitalization, and finances into issue. The amended complaint would be subject to independent pleading challenges by the new defendants. All of this would further delay the case and render the current trial date of March 23, 2027 untenable.

CONCLUSION

Plaintiff's motion for leave to amend is DENIED.